

Calculation of Ad Valorem Real Estate Taxes

Property taxes are based on two items:

- A property's assessed value(assessment)
- The jurisdiction's tax rates

The assessed value (assessment) is not market value; it is a percentage of market value. Market value is used when preparing a comparative market analysis for a seller: It is the probable sales price if it were listed today and a willing seller and a willing buyer were both involved in the transfer of ownership. Assessed value, on the other hand, is a percentage of that probable sales price. It is the amount of property value to which the tax rate is applied.

When something is based on an item's value, it is called an ad valorem basis. The tax rate that is applied to the assessed value is determined by the local government's budgetary needs.

Example

If a property's real market value were \$100, its tax-assessed value were \$85, and the tax rate were .05, then the property tax is $.05 \text{ (tax rate)} \times \$85 \text{ (tax assessed value)} = \$4.25 \text{ (property tax)}$.

The reason the tax calculation is important is that if the market value of a property increases, its tax-assessed value also increases. Knowing this will help you explain future tax obligations for your clients.